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AVILY DEPENDENT ON
FACING THE COUNTRY'S

IN A JAN AUSHADHI store in Patna, Bihar, a strip of paracetamol costs ₹3. An antibiotic course that might cost several hundred rupees at a private pharmacy is available for a fraction of that amount.

The government's generic medicine network, which has crossed 10,000 stores, has become one of the most visible symbols of India's healthcare ambitions by bringing medicines within the reach of millions. The medicines may be inexpensive, but the raw materials used to make them are heavily imported, largely from China.

India supplies generic medicines to more than 200 countries. Pharmaceutical exports reached \$31.1 billion in FY26, 16 times the \$1.9 billion in FY01. But this has been accompanied by a worrying rise in raw material imports.

Industry estimates suggest that 70-80% active pharmaceutical ingredients (APIs) used by Indian pharmaceutical companies are imported, with China accounting for the bulk of those supplies.

"China operates massive, fully depreciated mega plants and controls the basic upstream chemicals. Domestic key starting materials and intermediates remain significantly more expensive. As a supplier of affordable medicines, Indian pharma cannot sacrifice its cost competitiveness. Until it builds a fully integrated ecosystem, from basic raw materials to cheap utilities, the reliance on imported inputs will remain an economic reality rather than a choice," says Salil Kallianpur, pharma analyst and former Executive Vice President at GSK. China accounted for 43.45% of India's pharmaceutical imports by value in 2023-24, amounting to \$3.6 bil-

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► **India's pharmaceutical success has been built on a hidden dependence.** Much of the raw material that goes into those medicines is sourced from abroad, particularly China.

► **Dependence did not emerge overnight:** Over three decades, Indian manufacturers increasingly shifted towards imported APIs and intermediates as Chinese suppliers offered lower costs.

► **The real vulnerability lies upstream:** The challenge extends beyond APIs. Dependence runs through key starting materials, intermediates

and specialty chemicals that form the foundation of pharmaceutical manufacturing.

► **Covid-19 exposed the risks:** Supply disruptions during the pandemic highlighted the extent of India's reliance on imported ingredients and pushed supply-chain security higher on the policy agenda.

► **Rebuilding capability will require more than incentives:** Government schemes have restarted production of several critical products, but creating a competitive ecosystem across chemicals, intermediates and APIs will take sustained investment and scale.